WARWICK BUSINESS SCHOOL
THE UNIVERSITY OF WARWICK

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Question Attempted	Question 1: Returning to the "Thomas Green" case: The Thomas Green case provides us a rich narrative about the tensions involved in leading change in the early stages of one's career. Drawing on the case, provide specific, detailed, and convincing arguments about how the Thomas Green case can be used to extend, deepen, or challenge the ideas proposed by three theories or frameworks of your choice that we have studied in this module (excluding fitting in/standing out). Question 2: Returning to the "One-firm firm" case: "Mack and Morgan Stanley were entering uncharted waters. Only time would tell if the firm would succeed in its attempt to, once again, reinvent itself," the case concludes. Drawing on what you learned from this module, provide Mack three specific, detailed, and convincing recommendations to improve the implementation process and/or outcomes of his change effort at Morgan Stanley.
Have you used Artificial Intelligence (AI) in any part of this assignment?	Yes

If you have ticked "Yes" above, please briefly outline below which AI tool you have used, and what you have used it for. Please note, you must also reference the use of generative AI correctly within your assessment, in line with the guidance provided in your student handbook.

I used generative AI tools in a limited capacity solely to support the structuring and organisation of the assignment and to refine the clarity, grammar, and academic tone of my writing. All analysis, interpretation, critical thinking, selection and application of theoretical frameworks, arguments, and recommendations are my own work. Any AI-assisted suggestions were reviewed and adapted by me solely to improve the presentation of my work, without altering the substance or originality of my thinking.

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Question 1: Thomas Green

Three frameworks studied in this module, resource dependence theory, payoff-matrix logic for managing credit and blame, and Badaracco's account of defining moments, capture different layers of the crisis Thomas Green faces. Resource dependence explains the structural imbalance between Green and Frank Davis. Payoff-matrix logic explains how genuine, if remediable, performance weaknesses became the dominant documented account of Green's suitability. Badaracco's framework then must be applied carefully, because the case ends before Green makes his final decision: the relevant defining moment is the open choice he still faces, not a resolution the case never gives us. Read together, the three frameworks show that dependence establishes whose interpretation carries institutional weight, political action converts that advantage into a documented record, and only then does Green confront a genuinely difficult choice, one already narrowed by everything that came before it.

1.1. Resource Dependence: Sponsorship as an Asset that Must Be Maintained

Resource dependence theory identifies power in asymmetric dependency wherein power is derived by having an individual dependent on some resource or outcome controlled by other individuals (Pfeffer & Salancik, 2003). The decision about promoting Green was made by Shannon McDonald against the protestation of Davis, who was informed that he had to manage whatever fallout followed (Sasser & Beckham, 2008, p.3). From there, Davis was left to supervise the day-to-day performance appraisal of Green and control the information flow into McDonald about Green's performance, although the ultimate decision on the matter belonged to McDonald, who conducted a separate meeting with Davis (Sasser & Beckham, 2008, p.6) before asking Green directly for his account (Sasser & Beckham, 2008, p.11).

However, the case goes beyond merely demonstrating the theory and actually enhances a simplified approach to it. While it is tempting to think that having a powerful sponsor equals having some protection in place, the case reveals how sponsorship can lead to access without guaranteeing protection. For instance, Green saw McDonald only twice after the move to the headquarters, and in his retrospective analysis he realized that he took her continued sponsorship for granted (Sasser & Beckham, 2008, p.6). Green was not totally isolated from other connections – he got some informal backing from other managers who advised him to hold his ground (Sasser & Beckham, 2008, p.5), but none of them held authority over the dispute itself. McDonald was the only tie with that kind of authority, which makes his failure to maintain contact with her, specifically, the crucial one.

The treatment of this theory within the module itself also reflects this point directly. The distinction by Wee et al. (2017) between generating mutual dependence and minimizing dependence underlies the Lesson 6 Workshop exercise, in which we mapped our own dependence relationships and apply exactly this choice. Green pursued neither route with Davis, in addition, his most significant alternative option, McDonald, was left without maintenance. His independent project to create a revenue-generating software application was not a political move; it responds to weak kiosk-growth prospects, and developing new growth opportunities was a legitimate part of his role (Sasser & Beckham, 2008, p. 5). The issue with this action was not its nature but its lack of documentation and visibility to Davis, so whatever value it had never converted into leverage in the relationship that actually controlled his evaluation. The theory becomes more complex because the sponsor's value depends on continuing access, activation, and conversion into influence over the relationship that controls immediate outcomes, and Green's failure was less a lack of political backing than a failure to keep that backing, and his other potential resources, actively working for him.

1.2. Payoff matrices: politicising real weaknesses under uncertainty

The module's payoff-matrix framework treats political decisions as choices made under competing risks (Ritti and Levy, 2009). A simplified matrix for Green's options at the October budget meeting looks like this:

Green's response	If forecast proves too high	If forecast proves accurate
Challenge Davis publicly	Possible later vindication, immediate conflict	Loss of credibility, intensified scrutiny
Raise concern privately, with data	Retains the challenge, less reputational exposure	Lower political cost, room to revise
Say nothing	Avoids confrontation	Accountable for a target he considers unrealistic

Table 1: Payoff Matrix

Green's public challenge to Davis’s ten percent growth estimate (Sasser and Beckham, 2008, p.4) can be classified as a minimax approach, in terms of the module itself, privileging the best possible substantive outcome, eventual vindication, over protection against the worst political outcome. A minimax strategy would have preserved his dissent while reducing exposure, raising the same concern privately and backing it with data before it became public. Characterizing this as simply a miscalculation, however, risks hindsight bias. In the context of his October meeting with Davis, there is no way that Green could have anticipated how vigorously Davis would document his concerns, whether other managers shared his reservations, or whether McDonald would ultimately intervene. His failure was less a matter of knowingly choosing the worst matrix cell than of misjudging the underlying probabilities: he underestimated both the political cost of public dissent in this specific reporting relationship and Davis's capacity to define the consequences once the disagreement became visible.

Davis's response should not be read as manufacturing a case from nothing. The actual documented complaint which Davis sends to McDonald draws on real material: Green had failed to update his calendar, had provided no new documented marketing strategies when directly asked for them, his own answer was "none that are documented", and he dismissed presentations and written documentation merely "political" (Sasser and Beckham, 2008, p.10). Green later avoided interaction with Davis and goes on to criticize the forecast to others outside the team (Sasser and Beckham, 2008, p.5). Davis's ability to exercise power does not lie in inventing deficiencies but in selecting, recording, and escalating genuine ones through a channel Green did not fully control. The more powerful individual thereby gains an effective ability to construct the matrix, although care should be exercised not to overemphasize this phrase since McDonald could ask for Green's own version of events, which still needs to be evaluated. Davis could not control the final decision outright, but he could shape the evidence through which McDonald assessed Green’s performance.

The concepts of resource dependence and payoff help us understand why Davis’s judgment was so influential and how Green made himself vulnerable to it; what still needs to be examined is how Green evaluates the decision he is left with.

1.3. Badaracco: a "who am I" moment, still open

There are three different types of defining moments: personal identity (in which one asks "who am I?"), organizational (when one asks "who are we?"), and societal ("who is the company?") (Badaracco, 1998, p.119). Green's situation is clearly the first kind which is a personal, career-defining choice between two ideals he holds, rather than a question about organisational or corporate character. Badaracco argues that these choices “form, reveal, and test” who we are (Badaracco, 1998, p.116), and recommends managers step back and examine the conflicting feelings the dilemma produces rather than searching for a single correct answer.

In this case, the real pivotal point is not something that Green has conceded, but rather the decision that he must make while driving back home after the email from McDonald asking his side of the story. He considers five options: arranging a meeting with McDonald, writing her a detailed memo, complying with Davis and staying silent despite believing the forecasts inflated, exposing Davis's projections as overstated, or contacting a head-hunter to leave (Sasser and Beckham, 2008, p.6).

In terms of Badaracco's right-versus-right conflict: Green's commitment to professional candour pulls against his responsibility to support organisational coordination, respect Davis's legitimate authority, and meet the evidence-based expectations of the role he accepted. These duties cannot merely be categorized as "loyalty to a superior," rather, they are the very needs of the job, and this makes the conflict even more acute than it already is. Green is currently facing some monetary obligations, upcoming mortgage payment due the following week and new furniture scheduled for delivery, that will drive the price of being unemployed higher (Sasser and Beckham, 2008, p.6), though this falls well short of genuine financial precarity for someone who had recently received a fifty percent salary increase. There is nothing in the reading that implies such an assumption about the Badaracco approach. It would be inaccurate to suggest that Badaracco assumes decision-makers face equally realistic and unconstrained options, as the reading does not make this claim explicitly. The addition that the case contributes is one of a small sort: a "who am I" moment rarely happens as an opposition between two pure values. It occurs in the context of role responsibilities and personal interests, and separating the values from the other pressures is already part of the self-examination suggested by Badaracco.

A less sympathetic interpretation is also possible and should be stated directly. Green’s crisis may reflect a failed transition into a managerial role more than structural victimisation: Davis’s concerns were not insignificant, and Green resisted the reporting and documentation required in his new position rather than adapting to them. This interpretation does not replace the power-and-politics analysis developed above; it refines it. Through his own conduct, Green provided Davis with genuine material, but Davis’s hierarchical position determined how that material was selected, formalised and escalated into the dominant account of Green’s suitability. Performance and politics are therefore not competing explanations for what happens to Green. His shortcomings gain their organisational consequences precisely because control over interpretation is unequally distributed, and it is only after that interpretation has taken hold that Green’s own defining moment arrives.

The case therefore suggests early-career change situations cannot be understood through political skill or personal courage alone. Dependence determines whose account of events carries institutional weight; political action turns the power into an authoritative narrative, and only then does the individual face a defining choice, one already shaped, before it is even made, by the power and politics that preceded it.

Question 2: The One-Firm Firm Case

The central implementation challenge in Mack's case is not the lack of action but the lack of coordination. Towards the end of the case, he achieves actual cross-divisional interaction, formalized training and orientation, and the design of an appraisal system. However, there is little evidence that the network of relationships, incentive structure and political legitimacy of the change have been aligned sufficiently to reinforce one another. The three recommendations provided below will institutionalize the informal brokerage that Mack has facilitated, will reconfigure the incentive structure whose importance his peers recognize as crucial for driving behaviour, and will increase ownership of the change in the most cynical constituency.

2.1. Recommendation 1: Convert informal cross-divisional mobility into a structured pilot

The divisions at Morgan Stanley have traditionally functioned as "fiefdoms, sharing virtually no skills, knowledge, or resources between divisions" (Burton, DeLong and Lawrence, 1999, p.7), and Fisher eventually recognised that this divisional focus, once regarded as a source of the firm's success, had begun to undermine it (Burton, DeLong and Lawrence, 1999, p. 5). Mack's reaction does not stop on mere symbolism; he addressed the managing directors telling them to "reach across the divisions", proposing to move employees between business units, and stating unequivocally that "the firm... will underwrite moving people around" (Burton, DeLong and Lawrence, 1999, p.11). The firm also created a formal training department for the first time, organized world-wide cross-divisions training in four skill domains, and created the common orientation program for new hires regardless of the division (Burton, DeLong and Lawrence, 1999, pp.10-11).

What the case does not show is that this intent has become a structured, owned mechanism. Mack's language encouraged managing directors to volunteer people and take initiative, but it did not specify which divisions should collaborate, who would have decision-making authority when conflicts arose, or how success would be assessed. Here comes the contribution of structural holes theory (Burt,1992), the theory does not treat structural holes as inherently bad, since individuals who control them can extract real advantages. Morgan Stanley's problem is that these advantages currently accrue informally to whichever manager happens to build a cross-divisional relationship, rather than being captured systematically by the firm. The Greiner model (Greiner, 1998) provides an explanation of why this matters at Morgan Stanley's current scale and complexity: the firm seems to be in the process of transitioning from a coordination phase based on strict divisional control towards a stage where interpersonal collaboration must perform more of the coordinating work, and informal, ad hoc mobility is not a stable mechanism for that transition.

My recommendation has three elements. First, Mack should launch a time-bound pilot of cross-divisional client-integration teams on a small number of key shared accounts spanning Investment Banking and Sales and Trading specifically, the two divisions with the longest-standing rivalry in the firm. Second, each team will be jointly led by one representative from each department, having a shared client strategy, the authority to allocate specialist staff without obtaining approval from either divisional head, and revenue attributed across both divisions rather than credited to one. Third, the pilot should run for a fixed time period before any decision is made to expand or discontinue it, so the mechanism is genuinely tested rather being simply rolled out companywide at once. The expected effect is that information and client opportunities begin to flow across the Investment Banking and Sales and Trading boundary through a structure owned by the firm, rather than relying on whichever manager happens to have developed an informal relationship.

The risk, which the case itself hints at through the sheer scale of Mack's "whirlwind" of reorganisations (Burton, DeLong and Lawrence, 1999, p.9), is that a formalised structure could reintroduce the rigid control the firm is trying to move away from. Restricting the pilot project to few major shared accounts instead of restructuring the whole firm makes it possible to keep the process testable and reversible.

Each pilot team should answer jointly to the two division heads concerned, while conflicts can be elevated to one particular member of the operating committee rather than to Mack personally, since such process does not have to rely on Mack’s continuous involvement in order to operate. The success of such initiative should be assessed on the basis of a handful of concrete indicators over a certain period of time, the volume of qualifying cross-divisional referrals, the amount of revenue from the joint venture in the pilot accounts and employee retention in those teams, which reviewed after two to three quarters before any decision to expand the model to further account pairs.

2.2. Recommendation 2: Realign appraisal and compensation around multiple criteria, not one example

A colleague's assessment captures the underlying constraint precisely, "in this environment, any time we want to change behaviour, it always comes down to compensation. The attitude is 'yeah, but are you going to pay me?'" (Burton, DeLong and Lawrence, 1999, p.12). By the end of the case, the 15-banker task force redesigning performance evaluation had still not resolved two central tensions: whether the process should be developmental or evaluative, and whether compensation should reward individually visible revenue or broader firm-wide contribution. One managing director illustrated the problem by comparing an employee covering a highly visible account such as DuPont with another covering an important but less visible area such as government agencies, noting that the former was likely to receive greater recognition (Burton, DeLong and Lawrence, 1999, p. 13). This example reveals the underlying issue, but it should not be treated as the whole basis for redesigning the system.

My recommendation will tackle both conflicts directly rather than partially. First, there needs to be clarity on both purposes and that should mean conducting quarterly development reviews without any compensation consequences, followed by an annual performance evaluation that uses documented evidence from throughout the year, which will resolve the ambiguity left hanging by the task force's "pragmatic" merger of the two (Burton, DeLong and Lawrence, 1999, p.12). Second, replace a single coverage-weighting rule with a small set of explicit criteria feeding into that annual review: commercial contribution of individuals, documented referrals and jointly attributed revenues, people development and client outcomes. This is precisely addressing what Mack's colleague referred to as the fundamental issue in the matter, that individual compensation still provides incentive to protect your own account without using a single example to illustrate the point. Third, test the new criteria across same two divisions as suggested in Recommendation 1, rather than a single division, so the pilot actually tests cross-divisional contribution rather than administrative feasibility alone.

Perhaps most obvious among these risks is that cross-divisional contribution becomes its own contested measure, gamed or disputed much as revenue attribution already is. Piloting the system reduces the cost of making mistakes before linking it to firm-wide compensation, but it cannot remove the problem entirely. Mack should therefore expect the measurement criteria to require further refinement before a full rollout.

The criteria must be tested for a minimum of one complete cycle prior to linking them to compensation decisions, which will give the task force an opportunity to see how employees react to the criteria and to revise their weightings if some of the criteria are found to be easily manipulated or not easily verifiable. In addition, it is necessary to hold periodic mid-cycle reviews involving the two division managers and the task force in order to identify potential conflicts over credit prior to annual reviews, rather than letting disagreements emerge only once compensation decisions are already made.

2.3. Recommendation 3: Build an empowered, representative coalition, not an advisory one

The resistance Mack faces is not simply general scepticism; it is rooted in established power structures. As one senior banker observed, “a lot of investment bankers viewed Mack suspiciously. He came from Fixed Income… not from our own business” (Burton, DeLong and Lawrence, 1999, p. 10). The 15-banker appraisal task force shows that practitioners were involved, but the case does not make clear whether this involvement reached the people whose support mattered most, particularly respected senior investment bankers and leaders from Morgan Stanley’s international offices. The global headquarters of the firm was located in New York, while the firm had significant operations in London and Tokyo and more than one-third of its personnel stationed overseas (Burton, DeLong and Lawrence, 1999, p.2). Mack himself mentioned the importance of “people in London,” “in Asia,” and “in Chicago” to get involved in the transformation process (Burton, DeLong and Lawrence, 1999, p.10).

The way I see it, the coalition should be formed with authority, not merely representation. Mack should identify respected sceptics, not just supporters, from Investment Banking and Sales and Trading, alongside representatives from the London and Tokyo offices and the Office of Development, and give this group real authority to modify the appraisal pilot, resolve disputes between the two piloting divisions, and publish early evidence of results, rather than a consultative role that leaves final authority with Mack's existing circle. In this way, Kotter's (1995) guiding coalition will be transformed into an implementing tool of change and authority for the people least likely to cooperate.

The obvious risk is that involving sceptical partners slows decision-making and dilutes the change agenda they were never enthusiastic about. However, the high-profile resignations reported as the change gained momentum (Burton, DeLong and Lawrence, 1999, p.13) suggest that the faster, loyalist-heavy approach, more centralised approach was already creating costly resistance. Given that, broader inclusion is a reasonable trade-off even at some cost to speed.

To focus on only one of these three ways would mean that the other two are still to be addressed. A structure for a pilot process opens up the channels through which cross-divisional processes can be performed; realigned incentives make individuals have a motive to do so; and an empowered, representative coalition gives both changes legitimacy among the constituency more inclined to resist them. While it is clear that Mack had done all three separately by 1993, what is not clear from this story, by the point the narrative ends, is how the three were put together into one mutually reinforcing effort.

To make this authority concrete rather than merely symbolic, the coalition should meet on a fixed monthly basis throughout the pilot period. Each meeting should include a standing agenda item reviewing the data and progress emerging from Recommendations 1 and 2, alongside a clearly defined process for escalating unresolved disputes to Mack only when the coalition itself is unable to reach agreement. A short summary of the decisions taken at each meeting should then be shared with the wider managing-director population. This would demonstrate that the coalition has genuine influence over implementation and reduce the risk that scepticism about another management initiative simply shifts from Mack to the coalition itself.

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